

NORWAY
2003

1. Overview of the system

In Norway, the unemployment insurance scheme is part of the National Insurance Scheme (NIS). Unemployment benefits are calculated as a percentage of previous earnings, and are taxable. The benefit period is limited to 3 years. Social economic assistance may be granted to the individual and may cover all housing costs. In most cases, the tax unit is the individual. The 2003 AW level is NOK 353 448.

2. Unemployment insurance

2.1 *Conditions for receipt*

A precondition for entitlement to daily cash benefits during unemployment is that the person concerned must have had an income from work of at least 1.5 times the basic amount the preceding calendar year or an income from work which at least equals the basic amount as an average during the three preceding calendar years. Income from participation in labour market measures no longer qualifies. The basic amount is NOK 56 861 from 1 May 2003 which is also the amount per 1 July.

2.2 *Calculation of benefit amount*

The calculation of daily cash benefits is based on income from work, income from job creation measures, daily cash benefits during unemployment, sickness, maternity and adoption. The calculation basis is the highest of either the income of the last preceding calendar year or the average over the last three preceding calendar years.

2.2.1 *Calculation of gross benefit*

The benefit rate per day is 0.24 per cent of the calculation basis and is paid five days a week. This will normally give an annual compensation of 62.4 per cent of the calculation basis. The maximal benefit basis is 6 times the basic amount (NOK 341 166 in 2002). The maximum amount per week thus is NOK 4 100.

A supplement of NOK 17 per day (NOK 85 per week) is granted for each dependent child under the age of 18.

2.2.2 *Income and earnings disregards*

Daily cash benefits are related to the reduction in working hours per week. Working hours must have been reduced by at least 50 per cent as compared to previous working hours.

2.3 Tax treatment of benefit

Taxable as personal income, see section 10.1.2.

2.4 Benefit duration

Daily cash benefits are payable for five days a week and are granted if the person concerned has been unemployed three of the last ten working days while being registered at the employment office as a bona-fide applicant for work.

The benefit period varies depending on earlier income from work. Income from work amounting to at least twice the basic amount gives a benefit period of 104 weeks (2 years). Income amounting to less than twice the basic amount gives a period of 52 weeks (1 years).

When the initial period expires, a subsequent benefit period may only be granted provided that the requirement concerning previous income from work, also during the previous benefit period, is met (see section 2.1). There are no special conditions concerning a subsequent benefit period.

2.5 Treatment of particular groups

2.5.1 Young persons

No special treatment.

2.5.2 Older workers

Persons above the age of 64 are guaranteed three times the basic amount, and their benefits are paid indefinitely until the age of 67.

3. Unemployment assistance

Up to July 2008, a so-called “waiting benefit” (ventestønad) was paid to long-term unemployed persons. The “waiting benefit” was paid if the claimant had worked at least three years during the past four years, and had exceeded the period of entitlement to unemployment insurance benefits, but had no maximum duration. However, the benefit was intended to be temporary while waiting for suitable labour market measures or work. In 2007, there were on average 1 900 waiting-benefit recipients in total. The “waiting benefit” was terminated from July 2008 onwards.

4. Social assistance

Social Economic Assistance (SEA) is complementary to all other subsistence allowances and is provided as a last resort assistance (safety net). Municipalities are responsible for providing SEA.

4.1 Conditions for receipt

SEA is a means-tested benefit. Only residents in Norway are entitled to SEA. The assistance may be conditional (requirement to work for the municipality, active job search, participation in labour market training, etc.).

4.2 Calculation of benefit amount

The benefit unit is always the individual, but the resource unit is the dependent family. SEA is granted according to the local social workers' discretion. The Ministry of Health and Social Affairs in 2001 set governmental guidelines on reasonable amounts. The guidelines were revised in 2002. The latest price adjustment of the guidelines took place in 2004. The municipalities also set local guidelines. In this report, the data for subsistence allowance is based on the governmental guidelines, while the housing allowance data is based on the guidelines of the municipality of Trondheim.

4.2.1 Calculation of gross benefit

Guidelines for social assistance

Household type; NOK/month	2003
Single person	4 000
Couples (married or cohabitating)	6 660
Cohabitating, single person benefit	3 330
Children 0-5 yrs.	1 530
Children 6-10 yrs.	2 020
Children 11-17 yrs.	2 550

Remarks:

1. Child care cash benefit (children 1-2 yrs.) included in income calculation base for social assistance
2. Family, basic, and attendance benefits excluded from income base

Guidelines for housing benefit (excl. heating/electricity)¹

NOK/month	2003
Youth under 25 yrs. (single rooms, shared flats)	2 800
Single person over 25 yrs, no children (single-room flat)	3 500
Couple (married or cohabitating), no children (two-room flat)	6 000
Lone parent, one child (two-room flat)	6 000
Any household with two small children or one older child (three-room flat)	6 000
Any household with three children (four-room flat)	7 000

Estimated heating/electricity expenses as a function of household income (NOK/year)

¹ For beneficiaries of social economic assistance, the housing benefit is generally set and provided by the municipality. In the event that a beneficiary of social economic assistance is also eligible for the governmental housing benefit (as described in the Housing Benefits section), the governmental benefit is included in the above (municipal) amounts. This follows from the fact that social economic assistance is a subsidiary benefit.

Household income	2003
Less than 200 000	10 261
200 000 - 299 999	13 765

Remark:

Electricity consumption in 2001 multiplied by average price in 2005.

Source: Statistics Norway

4.2.2 *Income and earnings disregards*

SEA is withdrawn 100 per cent against all income and income support: salary from work, benefits from the National Insurance Scheme (unemployment benefit, disability benefits, old age pension etc.), the Family Allowance Scheme and the Scheme for Cash Benefit for Families with Small Children, Housing allowances provided by the Housing Support Scheme etc.

4.3 ***Tax treatment of benefit***

Not taxable.

4.4 ***Benefit duration***

Intended for temporary relief only, but currently not subject to any binding time limitation.

4.5 ***Treatment of particular groups***

4.5.1 *Young persons*

Participation in labour market programmes is usually required.

4.5.2 *Older workers*

None.

5. **Housing benefits**

There is a special government housing benefit - housing allowance - for persons with a combination of low income and high housing costs. The benefit depends on the household's total resources and housing costs. The average monthly amount was NOK 1 530 in 2003. The average yearly housing expenses in households receiving housing allowance was NOK 53 000 in 2003, and the average yearly income was NOK 96 260.

The following groups were eligible for the special housing benefit in 2003:

- Recipients of pensions or allowances from the National Insurance Scheme (NIS) or comparable pension benefits.
- Recipients of Social Economic Assistance (SEA), see section 4.
- Elderly persons (from the age of 65).

- Households with children under the age of 18.

Maximum income for eligible households with children under the age of 18 and recipients of Social Economic Assistance (SEA) was:

- Larger urban areas:
 - For one-person and two-person households: NOK 151 000.
 - For households with three persons: NOK 164 800.
- Other areas:
 - For one-person and two-person households: NOK 145 600.
 - For households with three persons: NOK 159 000.

The housing allowance is calculated as 70 per cent of the difference between the actual and a standard ("reasonable") housing expense, the standard being tabulated below. The standard is calculated on the basis of an increasing percentage above a specified income level. The maximum housing expense, recognised for the purpose of calculating the housing allowance, is also given in the table. As a special measure, the limits for maximum housing expenses were raised by NOK 30 000 for households with children under the age of 18 in the 1st and 2nd term of 2003, disregarded in the tables.

Number of persons in household	Maximum expense/year (in NOK)		Standard expense/year		
	Larger urban areas	Other areas	Rate (%)	On income up to (NOK)	For every additional NOK 1 000 in income
One or two	60 000	55 000	17	82 000	0.3 percentage points
Three	64 500	59 500	17	97 000	0.3 percentage points
Four	69 000	64 000	17	107 000	0.3 percentage points

6. Family benefits

6.1 Conditions for receipt

Family benefits are paid only to families with dependent children. Each child aged 18 or under qualifies.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The benefit is NOK 11 664 per child per year. Lone parents receive benefits for one child more than the actual number of children.

The annual supplement of NOK 7 884 per year, granted for children between 1 (one) and 3 years of age in addition to the ordinary rates was abolished by 1 August 2003 (it is still modelled in the 2003 model as the reference date is 1 July). However, lone parents with wage below half the basic amount (*i.e.* receiving full transitional benefit, see section 9.2.1) and children between 0 (zero) and 3 years of age, still get one annual supplement of NOK 7 884 independent of the actual number of children.

6.2.2 *Income and earnings disregards*

None.

6.3 *Tax treatment of benefit*

Not taxable.

6.4 *Treatment of particular groups*

None.

7. **Child-care benefits**

See section 10.1.1

8. **Employment-conditional benefits**

None.

9. **Lone parent benefits**

Lone parents are entitled to National Insurance benefits: Transitional allowance, education benefits and, when required due to professional or educational qualification activities, a supplementary child care benefit.

9.1 *Conditions for receipt*

Lone parents are entitled to benefits if unmarried, divorced or separated and neither living together with a person who is not the child's/children's other parent. A benefit is not granted if the single parent has had a cohabitant during 12 of the last 18 months.

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

Full transitional benefit is equivalent to 1.85 times the basic amount (see section 2.1, above), that is, NOK 105 193 in 2003, reduced by 40 per cent of wage and unemployment insurance exceeding one half of the basic amount, that is, NOK 28 431 in 2003.

Maximum child care benefit for lone parents in 2003:

- One child NOK 32 052.
- Two children NOK 41 820.
- At least three children NOK 47 388.

The actual benefit granted is 66 per cent of documented expenses up to these maximum benefit levels in 2003. If the single parent has income between 6 G and 8 G, the benefit granted is half the numbers mentioned above. If her income is higher than 8 G, there is no benefit granted at all. Please notice that the amount of benefit granted affects the allowance for childcare expenses cf. paragraph 10.1.1, fourth bullet point. The actual allowance for single parents for childcare expenses is the difference between the expenses and the received childcare benefit, yet limited by 25 000/30 000, cf. paragraph 10.1.1, fourth bullet point.

9.2.2 *Income and earnings disregards*

See above reduction of transitional allowance depending on age and income from unemployment insurance.

9.3 *Tax treatment of benefit*

The transitional allowance is taxable as pension income. The child care benefits are not subject to taxation.

9.4 *Benefit duration*

The transitional benefit is limited to a period of three years after the birth of the youngest child, but may be extended for another two years when the lone parent engages in professional qualification (in which case a contribution towards the extra cost will be added).

9.5 *Treatment of particular groups*

None.

10. **Tax system**

Both central and local government taxes are payable.

10.1 *Income tax rate schedule*

10.1.1 *Tax allowances and credits*

Tax allowances/credits (ordinary income):

- For tax on ordinary income a flat allowance exists (NOK 31 600 class 1, NOK 63 200 class 2).
- Unemployment insurance is treated like wage income.
- Basic relief of 24 per cent of personal income, relief bound by a minimum of NOK 4 000 and a maximum of NOK 45 700. For wage income (incl. unemployment benefit) each individual can choose a separate allowance of NOK 31 800 instead of the basic relief.
- If the family can document child-care expenses for children younger than 12 years, the couple will get a deduction in ordinary income up to NOK 25 000 for one child and NOK 30 000 for two or more children.

The allowance applies in general to the spouse who has the highest income. Unused parent allowance may be transferred to spouse. The allowance is also applicable to single parents.

- Lone parents receiving the transitional benefit only (and pensioners receiving the comparable benefit) do normally not pay income tax, according to a special “tax liability limitation schedule”. Single persons qualified for the tax limitation rule, do not pay tax on net income below the threshold of NOK 85 200 (ordinary income including 2 per cent of net wealth exceeding NOK 200 000). Additional income faces a formal marginal tax rate of 55 per cent. Due to the basic relief, the actual marginal tax rate on personal income is normally 41.8 per cent ($0.55 \times (1 - 0.24)$). Also due to the basic relief, a single parent (with wealth not exceeding NOK 200 000) does not pay tax if the total income is below NOK 112 105 ($85\,200 / (1 - 0.24)$).
- The tax limitation rule has no direct contribution to the social security system. But the basic relief is included and so is the possible deduction due to documented child-care expenses. The lone parent may also have additional income (e.g. income from work) and still be taxed with reference to the limitation rule (if this implies lower tax than the ordinary tax rules only). Only when the transitional benefit is zero, the single parent *has* to be taxed in accordance with the ordinary tax rules for income in class 2 (including the 7.8 per cent contribution on wage/unemployment insurance to the social security system).

10.1.2 The definition of taxable income

Two tax bases exist:

- Personal income, income from work and/or pensions (including unemployment benefits and lone parent transitional allowances) with no deductions, social security tax and surtax are levied on personal income.
- Ordinary income, taxable income of all types after deductions (for example interest expenses).

Central government taxes are levied on both personal income and ordinary income, whilst local tax is levied on ordinary income only.

10.1.3 The tax schedule

A total tax rate of 28 per cent is levied on ordinary income. This rate is divided into two parts: 16.24 per cent as local tax (county/state and municipality) and central government tax, calculated as 11.76 per cent of taxable income. The total of local and central government tax on ordinary income and net wealth may not exceed 80 per cent of ordinary income.

Central government surtax is levied on personal income. The surtax is a progressive tax with two brackets. Two classes exist, class 1 and class 2. See section 10.2.

NOK per year		Rate (%)
Class 1	Class 2	
Up to 340 700	Up to 364 000	0
340 700 – 872 000	364 000 – 872 000	13.5
872 000 +	872 000+	19.5

10.2 Treatment of family income

The tax unit is in most cases the individual (class 1), but joint taxation (class 2) is also possible and more favourable if one of the spouses has little or no own income. Lone parents are also entitled to class 2. Approximately 90 per cent of the tax payers are taxed in class 1.

10.3 *Social security contribution schedule*

Contributions amount to 7.8 per cent of personal wage income, and 3.0 per cent of lone-parent transitional allowance and pension income. Pensions (including lone-parent transitional allowance) below NOK 112 105 are not subject to income tax and social security contributions, cf. paragraph 10.1.1.

Persons with personal income below NOK 23 000 do not pay social security contributions. Once wage income exceeds this floor, an alternative calculation is made where the contributions equal 25% of the wage income in excess of the floor. The actual contributions made would represent the minimum between the alternative calculation and 7.8 per cent of the total wage income.

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

Any person works part time if he/she works less than the average working week for his/her own profession. To be eligible for an unemployment benefit, the person must have experienced at least a 40 per cent reduction in working time. The unemployment benefit will cover people in proportion to the days they do not work. The benefit period is the same as that for fully unemployed people.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. *Policy developments*

12.1 *Policy changes introduced in the last year*

12.2 *Policy changes announced*

Tax Reform for Economic Growth and Increased Welfare

In March 2004, the Government presented a white paper on tax reform aiming at reducing the tax on labour, decreasing the net wealth tax, abolishing the taxation of imputed rent from housing and decreasing the rate differential between labour and capital taxation. The reform aims at tax reductions of NOK 12 billion.

The proposal is based on the work carried out by the Skauge Committee, cf. the green paper, NOU 2003: 9 “Skatteutvalget – Forslag til endringer i skattesystemet” (“*The Tax Committee – Proposed Changes to the Tax System*”). The Committee submitted its recommendations on 6 February 2003.

The press release in full can be downloaded from the Ministry's web pages at the following address:
<http://www.odin.dep.no/fin/engelsk/aktuelt/pressem/006071-070502/dok-bn.html>